BETWEEN THE LINES

ISSUE NO. 06 · NOVEMBER 2026 · KELLY ANDERSON GROUP / IMPACT SOLUTIONS

OPENING

"Truckload is great. Logistics is great. U.S. LTL is not, and I feel like I'm a broken record on that," TFI CEO Alain Bedard told analysts, dropping a candor bomb that captured the month in one line [FreightWaves]. The freight market has turned. What's less clear is who benefits and who gets squeezed. This issue: a supply-driven upcycle gathering momentum, FMCSA pushing new HOS flexibility, an Arkansas blitz that netted 183 English proficiency violations in 48 hours, and Covenant's David Parker calling for double-digit contract rate hikes in 2027 [Transport Topics, FreightWaves].

THE BIG STORY

Capacity is tightening on the back of enforcement, not demand. Carriers who built for this moment are pulling away.

The freight upcycle is real, and regulators are doing much of the heavy lifting

Shippers who reset their truckload contracts in recent months are paying 12.8% more than the rates they replaced, up from 4.1% in the same window a year ago [FreightWaves]. Covenant Logistics CEO David Parker told analysts he expects another year of double-digit contract rate hikes in 2027, and he's not alone in the view. Schneider's Jim Filter called the supply thesis "intact," pointing to driver availability, elevated operating costs, and regulatory barriers as the forces squeezing capacity even as freight demand stays uneven [FreightWaves].

12.8%
CONTRACT TRUCKLOAD RATE

$6.53
NATIONAL AVERAGE DIESEL PRICE PER GALLON

183
ENGLISH PROFICIENCY VIOLATIONS IN

32.1%
Q3 SHIPPER SPENDING JUMP, LARGEST SINCE 2021

INCREASE YEAR OVER YEAR

ARKANSAS 48-HOUR BLITZ

What makes this cycle different is where the pressure is coming from. ATA Chief Economist Bob Costello put it bluntly at the group's annual meeting: "We are in a cycle like we have never seen before, and it's all supply driven" [Trucking Dive]. Capacity is leaving the market through bankruptcies, consolidation, and now a sustained federal push on driver qualifications. Arkansas Highway Police just ran a 48-hour Operation Highway Shield that produced 183 English language proficiency violations, 44 arrests, and more than 1,000 motor carrier safety violations across 1,724 inspections [FreightWaves]. Similar waves have hit Florida and the Midwest earlier this year.

> *"We are in a cycle like we have never seen before, and it's all supply driven."*
>
> Bob Costello, Chief Economist, American Trucking Associations

Parker went further on the enforcement thread, telling analysts he believes 30% of trucks using ELDs may be operating with manipulated records, and that third-party certification of ELD providers is coming [FreightWaves]. Knight-Swift CEO Adam Miller said cabotage enforcement is tightening cross-border capacity, with Mexican drivers losing visas over alleged violations tied to prior employers [FreightWaves]. Every one of these threads removes trucks from the market, and few add any back.

The demand side tells a quieter story. The Cass Freight Shipments Index shows volumes up just 2% in September while the Truckload Linehaul Index rose 10%, an unusual inflation pattern that FreightWaves notes is "hard to reconcile" absent a supply constraint [FreightWaves]. U.S. Bank's Freight Payment Index reported Q3 shipper spending jumped 32.1% year over year, the largest annual increase since 2021, against essentially flat volumes [DC Velocity]. Shippers are paying substantially more to move roughly the same amount of freight.

For carriers that spent the downturn investing in service and network, the payoff is landing. XPO grew shipments per day 5.8% in Q3 and expects Q4 operating ratio below 82 [Transport Topics]. Saia posted record $982.5 million in revenue, up 17%, with a claims ratio down 40% year over year [FreightWaves]. The lesson from this cycle isn't that rates always come back. It's that the carriers with disciplined pricing, clean safety records, and service that holds up under pressure are the ones setting the terms when they do.

QUICK TAKES

What else moved the market this month.

REGULATION

FMCSA signals more HOS flexibility and SMS updates ahead

Chief Safety Officer Steve Dowling told the WEX OTR Summit the agency plans further hours-of-service flexibility and a Safety Measurement System overhaul in coming months [Transport Topics]. FMCSA already revised four HOS provisions in June and launched sleeper berth and split-duty pilots. Dowling also acknowledged lingering Motus registration problems affecting roughly 5% of carriers, calling the gap "not acceptable" and promising fixes.{""}

LTL

TFI's U.S. LTL is "a rock in my shoe," CEO says

TFI stock dropped nearly 15% after CEO Alain Bedard pegged U.S. LTL operating ratio near 97 versus sub-75 in Canada, and announced a new unidentified U.S. LTL leader [FreightWaves]. Bedard said density is roughly half what the Canadian operation achieves, and the fix may involve building a parallel non-union network through Hercules Forwarding. He ruled out selling the U.S. business.{""}

DRIVERS

Driver supply tightens on multiple fronts

Covenant's Parker expects continued enforcement to pull more team-driver capacity out of the market, while Werner CEO Derek Leathers reported CDL school enrollments down 20% to 30% [FreightWaves, Trucking Dive]. ATRI has launched a confidential survey of driver health and carrier medical costs, examining whether shorter medical card durations are quietly driving up operational risk [Trucking Dive].{""}

INTERMODAL

Schneider shifts eastern intermodal from CSX to Norfolk Southern

Schneider is making Norfolk Southern its exclusive eastern rail partner, citing network reach, train frequency, and proximity to population centers [FreightWaves]. Truckload rates currently run more than 30% above intermodal, and Schneider sees dray and driver availability, not boxes, as the binding constraint. CSX, meanwhile, is working with shippers on truck-to-rail conversions in chemicals, forest products, and waste [Trucking Dive].{""}

EQUIPMENT

Trailer leasing hits all-time utilization highs

Premier Trailer Leasing's CFO Craig Barth said utilization has surpassed pandemic peaks, driven by supply contraction rather than demand [FreightWaves]. Trailer manufacturers have built below replacement volume for three straight years, pushing carriers to run equipment seven to nine years old. Flatbed demand is particularly tight thanks to data center construction.{""}

FUEL

Diesel at $6.53 reshapes the operating math

National diesel averaged $6.53 per gallon in late September, with California topping $8.25 [DC Velocity]. The U.S. Bank Freight Payment Index tied the spike to tighter capacity enforcement in the Southwest, where quarterly spending jumped 51.6% year over year. Elevated fuel is pushing shippers toward intermodal and giving rail operators like CSX and Norfolk Southern a durable pricing lever. {""}

WHAT TO WATCH

Stories worth tracking into next month.

LABOR

LA/LB security workers near strike as contract expires

Roughly 250 ILWU Local 26 security workers at Los Angeles and Long Beach face a Sunday contract expiration, with other ILWU members traditionally honoring picket lines [The Loadstar]. Terminals handle 85% of Long Beach and 33% of LA container volume. Any disruption would hit a complex already juggling 35,700 containers waiting on rail.{""}

REGULATION

ELD third-party certification could reshape compliance

Covenant's Parker predicted FMCSA will eventually require third-party certification of ELD providers to curb hours-of-service manipulation [FreightWaves]. If 30% of ELD-equipped trucks are running falsified logs as he suggests, certification would meaningfully tighten team-driver capacity and reward carriers already running clean.{""}

RATES

2027 contract season sets up as a seller's market

With contract rates already up 12.8% and double-digit increases forecast for 2027, the upcoming bid season will test whether shippers accept the new baseline [FreightWaves]. XPO reported October pricing up around 5% and FedEx Freight filed a 6.9% GRI effective January 8. Expect carriers to walk away from freight that doesn't pencil out.{""}

THE BOTTOM LINE

This month marks the clearest signal yet that the freight downturn is behind us, and that the recovery is being built on tighter supply rather than booming demand. For carriers and final-mile operators, that's a durable foundation. Discipline on pricing, safety performance that stands up to a Highway Shield inspection, and investments in driver retention are what will separate the winners through 2027. The cycle rewards operators who were ready before it turned.

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SOURCES ▲

Compiled 2026-11-01 from 8 publications over the past 30 days.

DC Velocity

- 2026-10-30 Black Friday peak subsides as shoppers wait for later buying sprees
- 2026-10-30 Shipper costs hit five-year high as freight demand stalls

2026-10-30 North American robot orders increased 24.8% in third quarter

2026-10-30 Brian Donnelly of Boston Dynamics

2026-10-29 MIT Report: Corporate commitment to sustainability soars, but roadblocks to execution remain

2026-10-29 Georgia Ports Authority opens $134 million Gainesville Inland Port

2026-10-29 Blue Yonder: 46% of people who shop with AI have returned what they bought

2026-10-29 Study: smaller companies struggle to pass on costs of fuel and tariffs to customers

2026-10-29 3PLs could feel the impact of mid-term elections

2026-10-28 DOT awards $498 million for port improvement projects in 19 states

FreightWaves

2026-11-01 Borderlands Mexico: Cabotage enforcements threatening cross-border trucking

2026-11-01 Freight cycles are anything but regular

2026-10-30 Rail Rivalry: Schneider’s Bold Move to Norfolk Southern from CSX

2026-10-30 Unexpected Boom: Trailer Leasing Demand Hits Record Highs

2026-10-30 SAIA’s Record $982.5M Q3 Revenue | What’s Next?

2026-10-30 TFI chief Bedard rips into its US LTL operations, promises change

2026-10-30 Beverage Distribution: Why Your SKU Count is Crushing Productivity

2026-10-30 Arkansas truck blitz nets 183 English violations, 44 arrests in 48 hours

2026-10-30 European postal operators gear up for surge in holiday volume

2026-10-30 Covenant Logistics CEO expects double-digit truckload rate hikes in 2027

Supply Chain Dive

2026-10-30 USDA to fund 8 fertilizer manufacturing projects totaling more than $1.3B

2026-10-30 UPS aims to double RFID-labeled volume from customer locations

2026-10-30 Walmart plans $400M Texas distribution center

2026-10-29 Kroger accelerates direct sourcing efforts for better cost control, visibility

2026-10-29 FedEx drawing parcel-focused shippers to its air freight services

2026-10-29 OPI, Nioxin owner appoints chief supply chain officer

2026-10-29 Fed holds main interest rate steady despite accelerating inflation

2026-10-29 Trump opts for trade talks over tariffs for robotics, industrial machinery

2026-10-28 Tesla begins humanoid production in California

2026-10-28 Nvidia forges supplier agreements to expand capacity for AI

The Loadstar

2026-11-01 News in Brief Podcast | Week 43 | Reliability, rates and port fee delay

2026-10-30 CNBC: Stock market rocked as investors dump tech shares

2026-10-30 Newbuildings head for Asia-Latin America trades as volumes boom

2026-10-30 EXCLUSIVE: CargoWise customs message delays leave forwarders waiting for clearance

2026-10-30 Full planes and fond farewells: air cargo does Miami

2026-10-30 A platform to challenge ‘death by a thousand [D&D] invoices’

2026-10-30 Carriers’ November rate hikes ‘doomed’ say analysts, as demand goes flat

2026-10-30 ‘Supply chain transformation’: Walmart and tech leader Symbotic disclose multi-billion agreement

2026-10-30 LA/LB port complex braces for potential strike as labour contract expires

2026-10-30 XPO beats FedEx Freight & Old Dominion on volume growth – yet the bulls want more

Transport Advancement

2026-10-30 Breakbulk Shipping for Buses and Heavy Machinery: Six Checks Before Booking

2026-10-29 NES Improves Fleet Efficiency with Chevin FleetWave Software

2026-10-29 Predictive Maintenance Boosting Rolling Stock Reliability

2026-10-29 Inland Waterway Freight Modernizing Bulk Logistics Transit

2026-10-29 Load Consolidation Algorithm Lowering Deadhead Miles

2026-10-29 Circular Packaging Systems Transforming Freight Logistics

2026-10-29 Reverse Logistics Automation Curtailing Return Costs

2026-10-28 Renfe Picks Siemens for EUR 1.22B High-Speed Train Deal

2026-10-27 Self-Healing Asphalt Technology Cutting Road Maintenance

2026-10-27 Geosynthetic Pavement Reinforcement Enhancing Road Stability

Transport Topics

2026-11-02 Stopped Trucks Carry Hidden Risk

2026-11-02 Calibrate Your Driver Recruitment Strategy at the 2027 Recruitment & Retention Conference!

2026-10-30 BP profit hits 18-year high on refinery boom

2026-10-30 FMCSA takes aim at HOS, SMS updates

2026-10-30 Used Class 8 retail sales lose steam in September

2026-10-30 FedEx Freight goes hunting after initial consolidation

2026-10-30 XPO’s higher Q3 volume, profit powered by SMB, grocery wins

2026-10-30 Schneider CEO Filter hopeful over supply-driven upcycle

2026-10-30 Cyber insurance expands amid costly attacks

2026-10-30 Saia expansion terminals deliver improved Q3 results

Transportation Today News

2026-10-30 DOT’s Maritime Administration approves deepwater port license for ST LNG

2026-10-30 Norfolk Southern completes six improvement projects during 26-hour work window

2026-10-30 Montana signs on to FAST-41 process

2026-10-30 Colorado requests $65M in emergency relief funding

2026-10-28 Pinsly railroad awarded $6.8M for northwest Indiana rail improvements

2026-10-28 Maine awards $1M in grants to nine transit operators

2026-10-28 Amtrak announces completion of D.C. infrastructure upgrades

2026-10-28 New York State DOT completes most of Van Wyck Expressway Project

2026-10-27 Colorado approves funding for Denver bus rapid transit project

2026-10-27 KYLE Railroad Company awarded federal $49.5M grant

Trucking Dive

2026-10-30 Data centers, consumers are keeping trucking demand afloat

2026-10-30 FedEx Freight Q3 shipments dip slightly following spinoff

2026-10-30 ATA calls on members to shape next cycle of trucking, regulation

2026-10-29 XPO Q3 revenue rises 12% as focus on higher-margin freight pays off

2026-10-29 Fed holds main interest rate steady despite accelerating inflation

2026-10-29 [Podcast] The Long Haul

2026-10-28 Old Dominion revenue jumps 13% as density increases

2026-10-28 Werner revenue jumps 23% as fleet efficiency improves

2026-10-28 ATRI to study truck driver health, carriers’ medical costs

2026-10-28 CSX sees rail conversion opportunities from battered trucking market